

Lessons learned

From Satyam to Rajesh Exports

What India's great audit failures keep teaching the profession

CA Minhaj Majid Khan

M K C S & Co, Chartered Accountants

June 2026

Every major corporate controversy leaves behind a lesson for the auditing profession, and the Rajesh Exports matter should not be read in isolation. It belongs to a lineage of failures that, over the past two decades, has quietly rewritten India's auditing standards and the expectations placed upon those who sign the opinion. What makes the present case distinctive is not only its arithmetic — a *prima facie* alleged revenue misrepresentation of ₹15.15 lakh crore — but its timing. It surfaces just as the regulator has, for the first time, referred the conduct of the company's statutory auditors to the National Financial Reporting Authority, and just as the standard governing exactly this kind of failure is being made considerably more demanding. The findings remain interim and unproven, and the company has denied them; but the questions the episode raises for the profession do not wait for a final order.

Set beside its predecessors, the case rhymes with each of them in a different register — verification, controls, risk recognition, and the tracing of networks. Taken together, they form something close to a syllabus.

Satyam (2009) — the failure of verification

When the Satyam fraud surfaced in January 2009, the chairman confessed to inflating cash, bank balances and profits over several years, with the overstatement eventually estimated at over ₹7,000 crore. The question the profession asked itself was disarmingly simple: how could thousands of crores of non-existent bank balances survive successive statutory audits? The answer lay in over-reliance on management representation and insufficient independent corroboration of audit evidence. The consequences reshaped Indian auditing — direct bank confirmations, sharpened fraud-risk assessment and a renewed insistence on professional skepticism all trace much of their present rigour to that episode.

Rajesh Exports poses the same question in a harder setting. Where revenue is said to arise through layered international structures and overseas subsidiaries, the auditor cannot rest on explanation; the commercial substance must be independently validated. The principle is unchanged from 2009 — audit evidence must, wherever possible, originate from a source outside the entity's own control.

Nirav Modi–PNB (2018) — the failure of the control environment

The Nirav Modi affair, involving fraudulent Letters of Undertaking of roughly ₹13,000 crore, was not fundamentally an accounting fraud. It was a control failure. For years, guarantees were issued through the international messaging system while remaining invisible to the bank's core

banking platform — a parallel channel operating entirely outside the recorded ledger. The uncomfortable question that followed was why neither the internal control framework nor successive audits surfaced a process running beside the books rather than through them.

The lesson generalises, and it bears directly on Rajesh Exports: an auditor is not merely verifying transactions but evaluating the reliability of the systems that generate them. Where turnover runs into hundreds of thousands of crores, the auditor's critical attention belongs as much to the architecture as to the entries — to revenue-recognition controls, subsidiary and treasury reporting, related-party monitoring, and the effectiveness of board oversight. The auditor who understands the control environment understands where a misstatement is most likely to originate.

IL&FS (2018) — the failure of risk recognition

The collapse of Infrastructure Leasing & Financial Services, which buckled under debt of roughly ₹91,000 crore, showed how risk can remain concealed beneath layers of apparent oversight. Credit ratings held firm — in places at the highest grade — until the crisis became unavoidable, and the financial statements read as stable almost to the end. The risk was real long before it was reported. The lesson for auditors was that material risk can exist even where the accounting is, on its face, technically compliant.

This is the distinction Rajesh Exports invites us to hold onto: compliance and transparency are not synonyms. A transaction may satisfy the letter of a standard and still demand fuller disclosure if, without it, an investor's understanding of the enterprise is materially distorted.

DHFL (2019) — the failure to see the network

The DHFL investigation, which centred on the alleged routing of around ₹31,000 crore through a web of shell entities and fictitious borrower accounts, illustrated that modern fraud rarely lives in a single transaction. It lives in networks. That insight is acutely relevant to multinational group structures, where subsidiaries, affiliates and intermediaries operate across jurisdictions and beneficial ownership is rarely visible from a single set of books.

It is precisely this pattern — funds and revenues moving through connected entities and overseas components — that the Rajesh Exports order describes. The implication for our discipline is that conventional, transaction-by-transaction testing is no longer sufficient on its own; it must be reinforced by forensic analytics, beneficial-ownership tracing and data-driven risk assessment capable of seeing the structure whole.

What the Standards on Auditing demand

From a professional standpoint, the Rajesh Exports matter engages several Standards on Auditing directly.

SA 240 — the auditor's responsibilities relating to fraud

The standard requires professional skepticism to be maintained throughout the engagement. The most frequent cause of audit failure is not a deficit of technical knowledge; it is the reluctance to challenge a plausible management assumption that happens to be untrue.

SA 315 — identifying and assessing the risks of material misstatement

Where revenue is exceptionally large or arises from complex structures, the auditor must treat that as an enhanced fraud-risk indicator and design procedures tailored to it, rather than scaling up routine testing. A revenue base concentrated almost entirely in unverifiable overseas components is, by any reasonable risk assessment, a significant risk demanding a bespoke response.

SA 550 — related parties

A striking number of large corporate failures turn on related-party dealings that appear ordinary until examined. The auditor's obligation extends to relationships and transactions that have not been disclosed, not merely to those that have.

SA 600 — the standard at the centre of this case

This may prove the most consequential dimension of all. India's SA 600 has, until now, been titled *Using the Work of Another Auditor* — a framework comparatively permissive of a principal auditor's reliance on the work of component and overseas auditors. Following the National Financial Reporting Authority's recommendation, a revised SA 600 aligned with the international standard — *Special Considerations – Audits of Group Financial Statements (Including the Work of Component Auditors)* — places ultimate responsibility for the group opinion squarely on the group auditor, introducing risk-based scoping and far greater direction and supervision of component work. It is set to take effect from 1 April 2026. The Institute of Chartered Accountants of India had resisted the change, arguing the existing standard had served well and that alignment risked concentrating audit work among the largest firms; the matter was settled in favour of the regulator's primacy in standard-setting.

That context transforms Rajesh Exports from a news item into a test case. A company reporting that 97–99% of its revenue resided in overseas subsidiaries is exactly the structure the revised standard was designed to discipline, and the alleged inability to substantiate those figures reads almost as a vindication of why the change was thought necessary. Reliance without verification, already difficult to defend in practice, is becoming indefensible as a matter of standard. The era in which a principal auditor could shelter behind a component opinion is closing.

The profession's hardest question

Every major fraud ends with the same line: "Where were the auditors?" It is often an unfair question, because an audit is not a guarantee against fraud and was never designed to be one. Yet public confidence rests on auditors being able to demonstrate — through evidence, documentation and a record of having challenged management — that they did the work skepticism required. What makes the question concrete here, rather than rhetorical, is that the regulator has referred the statutory auditors to the NFRA for examination. The gatekeeper is now inside the frame; and that referral arrives at the very moment the standard governing such audits is being hardened.

The road ahead

The future of auditing will not be driven by checklists. It will be driven by forensic thinking, data analytics, elements of continuous auditing, genuine cross-border verification, anomaly detection

assisted by technology, and stronger governance oversight. The auditor of the next decade must think less like a compliance reviewer and more like an investigator — and must be resourced and empowered to do so. That, in the end, is the common thread running from Satyam to Nirav Modi, through IL&FS and DHFL, and now to the matter before us.

Conclusion

History keeps demonstrating the same three truths: financial statements can be manipulated, controls can be circumvented, and governance structures can fail. The one safeguard investors continue to rely upon is the integrity, independence and professional skepticism of the auditor. Whether or not the allegations against Rajesh Exports are ultimately sustained — and they must be allowed to be tested fairly — the episode has already earned its place beside its predecessors in the curriculum of the profession. The lesson, as ever, is that scale and reputation are no substitute for substance, and that the audit is worth precisely as much as the evidence and skepticism behind it.

Disclaimer: This article references SEBI's interim ex-parte order in the Rajesh Exports matter dated 3 June 2026 and publicly reported developments concerning earlier cases and the revision of auditing standards. References to the Rajesh Exports allegations are prima facie and have not been finally adjudicated; the company and its promoter have denied them. The views expressed are the author's own and are offered for general professional discussion, not as legal advice or as comment on the merits of pending proceedings.